BEFORE THE WASHINGTON STATE LIQUOR AND CANNABIS BOARD

IN THE MATTER OF: Ash Way Properties, LLC dba Hangar 420 Snohomish Appellant/Licensee AVN No. 771345A License No. 421873	LCB No. M-27,654 OAH No. 03-2022-LCB-01032 STIPULATED SETTLEMENT AGREEMENT AND REQUEST FOR RESOLUTION

The Washington State Liquor and Cannabis Board (Board), Licensing and Regulation Division (Licensing), represented by its attorneys ROBERT W. FERGUSON, Attorney General and PENNY L. ALLEN, Senior Counsel, and ASH WAY PROPERTIES, LLC dba HANGAR 420 SNOHOMISH (Licensee) represented by its attorney WOLF LEGAL GROUP per GRANT WOLF, enter into this Settlement Agreement and Request for Resolution. The parties request that the Board approve this agreement.

I. INTRODUCTION

Enforcement issued AVN No. 771345A alleging that on or about December 11, 2021, Hangar 420 Snohomish violated WAC 314-55-110 by allowing employees to not wear face masks in violation of the safety mandates established in the Washington State Governor's Proclamations. This was the Licensee's second violation. The standard penalty for a second violation is a 10-day suspension or a monetary penalty of $7,500.

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ATTORNEY GENERAL OF WASHINGTON
1125 Washington Street SE
PO Box 40100
Olympia, WA 98504-0100
(360) 664-9006

The matter is currently pending before the Office of Administrative Hearings and a hearing is scheduled for January 27, 2023. The parties, however, have requested that OAH proceedings be continued so that this agreement could be presented to the Board.

II. AGREEMENT OF THE PARTIES

Licensing and the Licensee (the parties) enter into this agreement to avoid the time and expense of further litigation. The parties agree to the following:

1. The Licensee does not stipulate to committing the violation referenced in AVN No. 771345A, nor does it stipulate to the facts as set forth in Enforcement's accompanying WSLCB Narrative and Evidence Report. It, however, acknowledges that Enforcement has sufficient evidence that the AVN would likely be upheld if this matter went to hearing. Further, the Licensee understands that AVN No. 771345A will be considered in its violation history in the case of future AVNs issued by Enforcement for the two-year period as described in WAC 314-55-521.

2. The Licensee explicitly waives the right to further review of all matters related to the above-referenced Statement of Intent, and voluntarily withdraws its request for a hearing in this matter.

3. The Licensee agrees that it will follow any further mask mandate should a mask mandate be reimposed.

4. In consideration of the Licensee's agreement not to pursue further administrative review regarding the AVN, to follow any further mask mandates, and in consideration for its damage discharge in paragraph 12, Enforcement agrees to accept a reduced penalty amount of $5,250. The penalty of $5,250 is payable within 30 days of the issuance of the final order of the Board.

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Payments shall be made no later than 4:00 p.m. on the applicable date and sent to:
Washington State Liquor and Cannabis Board
P.O. Box 43085
Olympia, WA 98504-3085

5. Time is of the essence. Should the Licensee fail to pay the full penalty amount of $5,250 within the thirty (30) day period, as required in Paragraph 4 of this agreement, a 25 percent late penalty ($1,312.50) will become immediately due and owing in addition to the compromised penalty amount of $5,250, without this matter coming before the Board again or the Board needing to take any further action. If the compromised amount ($5,250) and the late penalty amount ($1,312.50) are not paid within 60 days of the issuance of the final order of the Board, the original penalty of $7,500 will be reinstated without this matter coming before the Board again or the Board needing to take any further action.

6. The undersigned parties declare that the terms of this Settlement Agreement are completely read, wholly understood, and voluntarily accepted for the purpose of making a full and final compromise and settlement of any and all claims between the parties. Each party has had the opportunity to discuss this settlement with an attorney of its choosing and at its own cost.

7. A waiver by the Board, Licensing and/or Enforcement of a breach of any provision of this Settlement Agreement shall not operate or be construed as a waiver or estoppel of any subsequent breach. No waiver shall be valid unless in writing and signed by the parties or their representatives.

8. No modification of this Agreement shall be valid unless in writing and agreed upon by both Parties, and approved by the Board.

9. The language of this Agreement shall not be construed for or against either Party. The Parties acknowledge that they have both participated in the drafting of this Agreement, and the language of all parts of this Agreement shall in all cases be construed as a whole, according to its fair meaning, and the Parties further agree that the rule of construction of contracts

resolving ambiguities against the drafting Party shall be inapplicable to this Agreement.

10. This agreement consists of five (5) pages, and sets forth in full all the terms and conditions agreed upon and stipulated to by the parties. There are not any other agreements, representations, promises or stipulations, verbal or otherwise, not contained in this written Settlement Agreement and Request for Resolution regarding the subject matter of this agreement.

11. Each individual signing this Settlement Agreement directly and expressly warrants that he/she has been given and has received and accepted authority to sign and execute the documents on behalf of the Party for whom it is indicated he/she has signed, and further has been expressly given and received and accepted authority to enter into a binding agreement on behalf of such Party with respect to the matters concerned herein and as stated herein. A signature transmitted by facsimile or as a pdf copy to electronic mail shall be treated as original for all purposes.

12. The Licensee agrees to release and forever discharge the Board and the State of Washington and their officers, agents, employees, agencies and departments from any and all existing and future claims, damages, and causes of action of any nature whatsoever arising out of the matters covered by this agreement, including all known or unknown damages.

13. The parties recognize that this settlement agreement is subject to approval by the Board. The Licensee understands and agrees that counsel for Enforcement may communicate directly and confidentially with the Board, their attorney and/or their staff regarding this proposed Settlement Agreement, without notice to or participation by the Licensee or its counsel. The Licensee further understands and agrees that any such communication is confidential and protected by attorney-client privilege, and is not discoverable through litigation discovery or a request for public records. It understands and agrees that if the Board does not adopt/approve this Settlement Agreement, this Agreement shall be of no force or effect and, except for this paragraph, shall be inadmissible in any legal action between the parties. The Licensee

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understands and agree that neither the Board nor the assigned Assistant Attorney General shall be disqualified from further action in this case by having communicated with each other or by the Board's consideration of the proposed agreement.

STIPULATED AND AGREED TO BY:

ROBERT W. FERGUSON
Attorney General

/s/ Penny Allen — 2/22/2023

PENNY ALLEN, WSBA #18821 — DATE
Senior Counsel
Attorneys for Washington State
Liquor and Cannabis Board Enforcement
Division

GRANT WOLF LEGAL GROUP

/s/ Grant Wolf (by PLA with permission) — 2/22/2023

GRANT WOLF WSBA #57368 — DATE
Attorney for HANGAR 420

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BEFORE THE WASHINGTON STATE LIQUOR AND CANNABIS BOARD

IN THE MATTER OF: Ash Way Properties, LLC dba Hangar 420 Snohomish Appellant/Licensee AVN No. 771345A License No. 421873	LCB No. M-27,654 OAH No. 03-2022-LCB-01032 FINAL ORDER OF THE BOARD ~~[PROPOSED]~~

THIS MATTER having come before the Washington State Liquor and Cannabis Board (Board), on a Stipulated Settlement Agreement submitted by the Licensing and Regulation Division (Licensing), represented by its attorneys ROBERT W. FERGUSON, Attorney General and PENNY L. ALLEN, Senior Counsel, and ASH WAY PROPERTIES, LLC dba HANGAR 420 SNOHOMISH (Licensee) represented by its attorney WOLF LEGAL GROUP per GRANT WOLF. The Board having considered the Stipulated Settlement Agreement and Enforcement's memorandum(s) recommending acceptance of the Stipulated Settlement Agreement, and the Board having had the opportunity to review the file materials maintained in this case, now therefore:

IT IS HEREBY ORDERED that the Stipulated Settlement Agreement in the above-captioned case is adopted in its entirety.

IT IS ALSO ORDERED that the Licensee will pay a total monetary penalty of $5,250 in this case within thirty (30) days of the issuance of the final order of the Board. **Payment shall be made by the applicable date and sent to**:

ATTORNEY GENERAL OF WASHINGTON
1125 Washington Street SE
PO Box 40100
Olympia, WA 98504-0100
(360) 664-9006

Washington State Liquor and Cannabis Board
P.O. Box 43085
Olympia, WA 98504-3085.

DATED this 14 day of February 2023.

WASHINGTON STATE LIQUOR AND CANNABIS BOARD

PATRICK GAHAN

ATTORNEY GENERAL OF WASHINGTON
1125 Washington Street SE
PO Box 40100
Olympia, WA 98504-0100
(360) 664-9006

BEFORE THE WASHINGTON STATE LIQUOR AND CANNABIS BOARD

IN THE MATTER OF: Ash Way Properties, LLC dba Hangar 420 Snohomish Appellant/Licensee AVN No. 771345A License No. 421873	LCB No. M-27,654 OAH No. 03-2022-LCB-01032 FINAL ORDER OF THE BOARD ~~[PROPOSED]~~

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Washington State Liquor and Cannabis Board
P.O. Box 43085
Olympia, WA 98504-3085.

DATED this 28 day of February 2023.

WASHINGTON STATE LIQUOR AND CANNABIS BOARD

ATTORNEY GENERAL OF WASHINGTON
1125 Washington Street SE
PO Box 40100
Olympia, WA 98504-0100
(360) 664-9006

Washington State
Liquor and Cannabis Board

February 28, 2023

Grant Wolf
Attorney for Licensee
Wolf Legal Group, PLLC
400 S Jefferson St, Suite 109
Spokane, WA 99204-3144

Penny L. Allen, Sr. AAG
GCE Division, Office of Attorney General
Pennyl.allen@atg.wa.gov

RE: FINAL ORDER OF THE BOARD
Licensee: Ash Way Properties, LLC
Trade Name: Hangar 420 Snohomish
License No. 421873
LCB Hearing No. M-27,654
AVN No. 771345A
UBI No. 603 581 349 001 0004

Dear Parties:

Please find the enclosed Final Order of the Board and Declaration of Service by Mail in the above-referenced matter, as well as a copy of the Stipulated Settlement Agreement. **The applicable monetary penalty is due by Thursday, March 30, 2023**. The address for payments is WSLCB, P.O. Box 43085, Olympia, WA 98504-3085. Please label the check with your License Number and Administrative Violation Notice Number (AVN) listed above. If you have any questions, please contact me at 360-664-1602.

Sincerely,

Marie Atse

Marie Atse
Adjudicative Proceedings Program Specialist

Enclosures (2)
CC:

Deputy Director Hood, WSLCB Director Office
Director Wax, WSLCB Enforcement
Deputy Chief Rupke, WSLCB Enforcement
Captain Bolender, WSLCB Enforcement
Lieutenant Wilson, WSLCB Enforcement
Sergeant Barsness, WSLCB Enforcement
Patrick McMillen, WSLCB Enforcement
Jessica Petteys, WSLCB Enforcement
Emilee Ragsac, WSLCB Enforcement
Andrea Lee, WSLCB Enforcement

WASHINGTON STATE LIQUOR AND CANNABIS BOARD

IN THE MATTER OF: ASH WAY PROPERTIES, LLC D/B/A HANGAR 420 SNOHOMISH 9929 AIRPORT WAY, UNIT 1 SNOHOMISH, WA 98296-8229 LICENSEE LICENSE NO. 421873 AVN NO. 771345A	LCB NO. M-27,654 OAH NO. 03-2022-LCB-01032 DECLARATION OF SERVICE BY MAIL

I certify that I caused a copy of the FINAL ORDER OF THE BOARD in the above-referenced matter to be served on all parties or their counsel of record by electronic mail and by electronic mail for WSLCB offices and state offices on the date below to:

GRANT WOLF ATTORNEY FOR LICENSEE WOLF LEGAL GROUP, PLLC 400 S JEFFERSON ST, SUITE 109 SPOKANE, WA 99204-3144 GRANT@LAW-LYNXNETWORK.COM	OFFICE OF THE ATTORNEY GENERAL PENNY L. ALLEN, SR. ASSISTANT ATTORNEY GENERAL PENNYL.ALLEN@ATG.WA.GOV

DATED this 28 day of February, 2023, at Olympia, Washington.

Marie Atse

Marie Atse, Adjudicative Proceedings Program Specialist